Type MS · Opportunity cost from a PPC diagram

Answer 1 of 3 · Question 4 part a · 2 marks

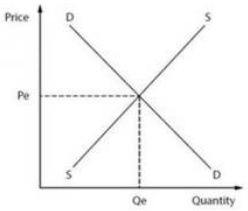
2023 JAN · Paper 01 · extract 1 of 6 · find part a in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation 500 - 400 **(1)** Award 1 mark for calculating correct opportunity cost = 100 units of capital goods **(1)** Award 2 marks if opportunity cost is correctly calculated as 100 units of capital goods, even if no calculations are shown Award 1 mark if the answer given is 100, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Opportunity cost from a PPC diagram

Answer 1 of 3 · Question 4 part a · 2 marks

2023 JAN · Paper 01 · extract 2 of 6 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how the equilibrium price of tagines sold to tourists is determined. **Indicative content**
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Equilibrium price is the price at which the quantity supplied equals the quantity demanded • Possible use of a diagram, explained  The diagram shows the equilibrium price (P_e) at the point where the quantity supplied is equal to the quantity demanded (Q_e) • The increase in popularity of tagines bought by tourists means there is an increased demand at the markets visited by tourists, this would shift demand to the right • Therefore, producers are likely to be attracted to those markets in order to sell the tagines to tourists because the increase in demand would lead to them being able to charge a higher price • As the higher price attracts more producers, supply will increase until the point where an equilibrium is reached • At this point, the equilibrium price for tagines sold to tourists will be reached because it is the price where supply is equal to demand

Type MS · Opportunity cost from a PPC diagram

Answer 1 of 3 · Question 4 part a · 2 marks

2023 JAN · Paper 01 · extract 3 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Opportunity cost from a PPC diagram

Answer 1 of 3 · Question 4 part a · 2 marks

2023 JAN · Paper 01 · extract 4 of 6 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, evaluate the likely impact of competition on restaurant customers in Dahab. **Indicative content**
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Competition is where sellers aim to increase sales and profits by attracting customers from rivals in the market • There are many restaurants in Dahab. They are likely to have to keep prices low in order to remain competitive • This is beneficial to customers as they will be able to dine in a restaurant without the need to spend a lot of money • Customers are likely to benefit from good service and quality meals as the restaurant owners need to retain high levels of customer service to keep the custom • A variety of meals, discounts and live entertainment are offered as the restaurants aim to compete with their rivals • This gives customers more choice of what to eat as well as where to eat as the restaurants try to compete on other factors than price **AO4** • However, as the restaurants are less profitable, they may not be able to focus on improving ingredients • This means that some restaurants may not provide quality meals as they focus on trying to reduce costs to make more profit instead • Some restaurants may not be able to stay in business if they cannot bring in enough revenue to cover their costs • This may mean customers lose out on visiting their favourite restaurants, being able to select certain types of food or enjoying the live entertainment • In spite of the drawbacks, a number of new visitors are frequently likely to visit Dahab, meaning the restaurants may benefit from this new custom and be able to use profits to focus on improving meals for future customers • Therefore, there are likely to be a number of both positive and negative impacts for customers of restaurants in Dahab

Type MS · Opportunity cost from a PPC diagram

Answer 1 of 3 · Question 4 part a · 2 marks

2023 JAN · Paper 01 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Opportunity cost from a PPC diagram

Answer 1 of 3 · Question 4 part a · 2 marks

2023 JAN · Paper 01 · extract 6 of 6 · find part a in this mark scheme extract

Pearson Education Limited. Registered company number 872828
with its registered office at 80 Strand, London, WC2R 0RL, United Kingdom

Type MS · Opportunity cost from a PPC diagram

Answer 2 of 3 · Question 4 part a · 2 marks

2020 NOV · Paper 01 (regional R) · extract 1 of 5 · find part a in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation 160 - 130 **(1)** Award 1 mark for calculating correct opportunity cost = 30 units of consumer goods **(1)** Award 2 marks if opportunity cost is correctly calculated as 30 units of consumer goods, even if no calculations are shown Award 1 mark if opportunity cost is calculated as 30, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Indicative content
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Diseconomies of scale occur when a firm becomes too big and average costs rise • Types of diseconomies of scale are communication problems, bureaucracy, lack of control and the distance between managers and workers at the bottom of the organisation • As Ben's employer has grown over the last two years, it may have become more bureaucratic • As it takes a long time for decisions to be made and tasks to be completed, unit costs are likely to increase due to inefficiency of the London-based firm • Due to the increase in the number of employees, communication between employees like Ben and management may be more difficult • Ben feels his ideas are not listened to and is thinking about leaving the firm because he is frustrated. This would impose a cost on the firm which could lead to an increase in average costs, meaning it is experiencing diseconomies of scale

Type MS · Opportunity cost from a PPC diagram

Answer 2 of 3 · Question 4 part a · 2 marks

2020 NOV · Paper 01 (regional R) · extract 2 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Opportunity cost from a PPC diagram

Answer 2 of 3 · Question 4 part a · 2 marks

2020 NOV · Paper 01 (regional R) · extract 3 of 5 · find part a in this mark scheme extract

Question number	Indicative content
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Income elasticity of demand (YED) measures the responsiveness of quantity demanded to a change in income • Subscription to internet services can be classed as a luxury, meaning that income elasticity of demand is positive (YED >1) and an increase in income would lead to a greater proportionate increase in the quantity demanded • This means that Amazon Prime Video would benefit from income increases in Japan as its 11.5% share would be of a larger market • By calculating YED, Amazon would be able to see the likely effect on demand following an increase in income and therefore whether its success would increase or decrease following the increase in income • Knowledge of YED would allow Amazon to adjust its marketing strategy and prices according to likely outcomes **AO4** • However, YED is only an estimate and actual demand may not be the same as the calculations suggest • Amazon Prime Video has a number of competitors, such as dTV, that cost more to subscribe to than Amazon's 3 900 yen per year charge. This may mean that, even if more people subscribe to internet services following an increase in income, the increase may also encourage customers to move to a more expensive entertainment provider • The type of films and television shows available on Amazon Prime Video and its competitors, such as Hulu, may be more likely to affect its success • It only costs 3 900 yen for an annual subscription to Amazon Prime Video and therefore it may already be affordable to a high number of people, meaning an increase in income would have little effect • It may depend how much and/or how often income increases, as only a small increase may lead to different outcomes for Amazon compared to a larger increase • Price elasticity of demand (PED) may be more important • YED may be important for Amazon's success in Japan but may only be one of many factors that have an effect

Type MS · Opportunity cost from a PPC diagram

Answer 2 of 3 · Question 4 part a · 2 marks

2020 NOV · Paper 01 (regional R) · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–4**	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	**5–8**	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	**9–12**	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Opportunity cost from a PPC diagram

Answer 2 of 3 · Question 4 part a · 2 marks

2020 NOV · Paper 01 (regional R) · extract 5 of 5 · find part a in this mark scheme extract

Pearson Education Limited. Registered company number 872828
with its registered office at 80 Strand, London, WC2R 0RL, United Kingdom

Type MS · Opportunity cost from a PPC diagram

Answer 3 of 3 · Question 4 part a · 2 marks

2025 NOV · Paper 01 · extract 1 of 4 · find part a in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation 950 - 800 **(1)** Award 1 mark for correctly calculating the opportunity cost = 150 units of capital goods **(1)** Award 2 marks if the opportunity cost is correctly calculated as 150 units of capital goods, even if no calculations are shown Award 1 mark if the opportunity cost is calculated as 150, with or without calculations shown Do not award marks for the formula	**(2)**

Type MS · Opportunity cost from a PPC diagram

Answer 3 of 3 · Question 4 part a · 2 marks

2025 NOV · Paper 01 · extract 2 of 4 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how income elasticity of demand (YED) may affect operators of public transport as incomes increase in Bulgaria. **Indicative content**
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • By calculating YED, operators of public transport would be able to see the likely effect on demand following an increase in income • Owing to the poor standard of rail travel and of buses often being late in Bulgaria, public transport may be an inferior good • Inferior goods have a negative income elasticity of demand, meaning as incomes increase, demand decreases • Therefore, an increase in income in Bulgaria is likely to lead to a fall in demand for bus and train travel as they switch to using private cars • This means operators of public transport would lose custom due to incomes increasing • Knowledge of YED would allow the operators to take action to improve quality/service according to the likely outcome of YED calculations

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Opportunity cost from a PPC diagram

Answer 3 of 3 · Question 4 part a · 2 marks

2025 NOV · Paper 01 · extract 3 of 4 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, evaluate the extent to which public sector investment may benefit the economy of Western Australia. **Indicative content**
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • The public sector is a part of the economy which is owned by the government and operates in the public interest • An investment of AU$107m would greatly improve the Swan River ferry network, by increasing the number of ferries and stops along the river • This means there would be greater capacity to transport passengers (>130 people per ferry trip), connecting more people across the Perth area • Therefore, it may be easier/more accessible for people to work in more locations in Perth than without the increase in infrastructure • A greater number and variety of jobs is likely to be available both during the building and operation of the additional ferries • This would create a positive effect for local firms and may increase more revenue for the Western Australia Government through tax • Instead of causing a parking issue, the investment may reduce traffic, as the new stops would allow passengers to travel more easily by buses connecting with the ferries and/or access to university without using private transport **AO4** • However, the cost of expanding the ferry network means the Western Australian Government would have less revenue available for spending on health and education • Therefore, the economy of Western Australia may not benefit as much from public sector investment to improve the network as if the AU$107m was invested elsewhere • This may be intensified if parking by ferry users leads to accidents and/or congestion due to the increased usage • It will most likely take time for the building of new ferries and addition of new stops, meaning any benefit may not be seen for a number of years • Therefore, costs may be considerably higher than revenue, for the government and the economy during this time • Safety concerns have been raised, meaning additional spending may be needed to investigate potential dangers to small boat users and to rectify problems

Type MS · Opportunity cost from a PPC diagram

Answer 3 of 3 · Question 4 part a · 2 marks

2025 NOV · Paper 01 · extract 4 of 4 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).